the extent of 'coupling'. Indeed, many of these models do not have realistic models of credit, or of monetary transmission in an economy with debt overhang, which reduces their value considerably. Progress is being made but it will take time.

And, of course, even if a truly independent assessment came to the conclusion that certain policies were in violation, how would such a judgment be enforced?

The reality is that the rules of the game were framed in a different era to deter competitive devaluations and currency manipulation. They have not been updated for today's world of more varied competitive easing. But it is unclear that even if they were updated, they could be assessed and enforced in the current environment.

A MORE MODEST PROPOSAL

Perhaps, then, it would be better to settle for a more modest proposal. Central banks should assess spillover effects from their own actions, not just in terms of immediate feedback, but also in terms of medium-term feedback as other countries alter their policies. In other words, the source country should not just worry about the immediate flows of capital to other countries from its policies, but the longer run reaction such as sustained exchange intervention that this would bring about. This would allow central banks to pay more attention to spillovers even while staying within their domestic mandate.

For example, this would mean that while exiting from unconventional policies, central banks would pay attention to conditions in emerging markets also while deciding the timing of moves, while keeping the overall direction of moves tied to domestic conditions. Their policy statements should acknowledge such concerns. To be concrete in a specific case, the Fed postponing tapering in September 2013 allowed emerging economies more time to adjust after the initial warning in May 2013. Whatever the underlying